



NERVE CENTRE Inside the Operational Control Centre at Prayagraj in Uttar Pradesh

STRENGTHS AND CHALLENGES



STRENGTHS

- Faster and assured transit
- Higher reliability in terms of time
- Can carry longer and heavier loads
- It has terminals in uncongested areas
- Has land parcels for developing multimodal logistics parks



WEAKNESSES

- Most terminals are connected through village roads. Connectivity to highways is being pursued
- A number of road over bridges/road under bridges are not planned for freight movement
- There is high dependence on the Indian Railways for stock and crew
- It follows the same pricing mechanism as that of the Indian Railways, though demand-supply economics is reversed
- There is a lack of a viable model for carrying light goods/smaller consignments

road, it works out to ₹1,300 with door-to-door delivery for a similar distance in a truck of 40 tonnes carrying capacity. The Railways has also imposed a 10% busy season charge on freight since October 2023. In the past few years, feldspar has moved to road.

Nanduri explains that for the modal shift the Railways is eyeing, it needs to go out of its way to change tariff. "What we need is a One Wagon, One Tariff policy. The Railways charges freight based on commodity rather than wagon type. For example, sand, clay, feldspar, and cement, all transported in a similar kind of wagon, have separate tariffs. Why not charge per wagon, irrespective of commodity?" asks Nanduri.

Maersk's Agarwal also puts cost as the decisive factor. He says India is a very cost-sensitive market, and if the cost-benefit is not passed on to customers, they start losing interest, even if it means compromising on the speed or reliability of supply chains.

"The Indian Railways has introduced a busy season surcharge on container traffic, which defeats the purpose of being more cost-efficient," says Agarwal. "Consolidating volumes through collaboration between rail operators will drive economies of scale, leading to lower operating costs. Further, innovative pricing mechanisms can eliminate traditional weight-slab-based pricing, and punitive charges such as underframe charges (standard maintenance of wagons) must be abolished."

According to the DFC, pricing, crew availability, and wagons are decided by the Railways. Customers have flagged issues like trains getting delayed at entry and exit points of the Indian Railways system due to crew unavailability. Some DFC stretches have connectivity with the railway network, and that is creating bottlenecks at some places.

ACTO's Puri explains that about 80% of the freight cost is built into the cost paid to the Railways. "I need to see a benefit in that from the Railways, and I cannot only be happy with my 20% (operational cost), where I can save 1-2% on capital costs or double stacks. That is a very critical aspect of my cost where I am getting zero benefit and therefore the customer is getting zero benefit, and the road will continue to challenge me," he says.

But nobody is in any doubt that the DFC represents world-class infrastructure and that it will increase rail's share of freight traffic in the years to come. For now, faster coal movement to ensure continuous power supply looks to be the most tangible benefit of the DFC. **BT**

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